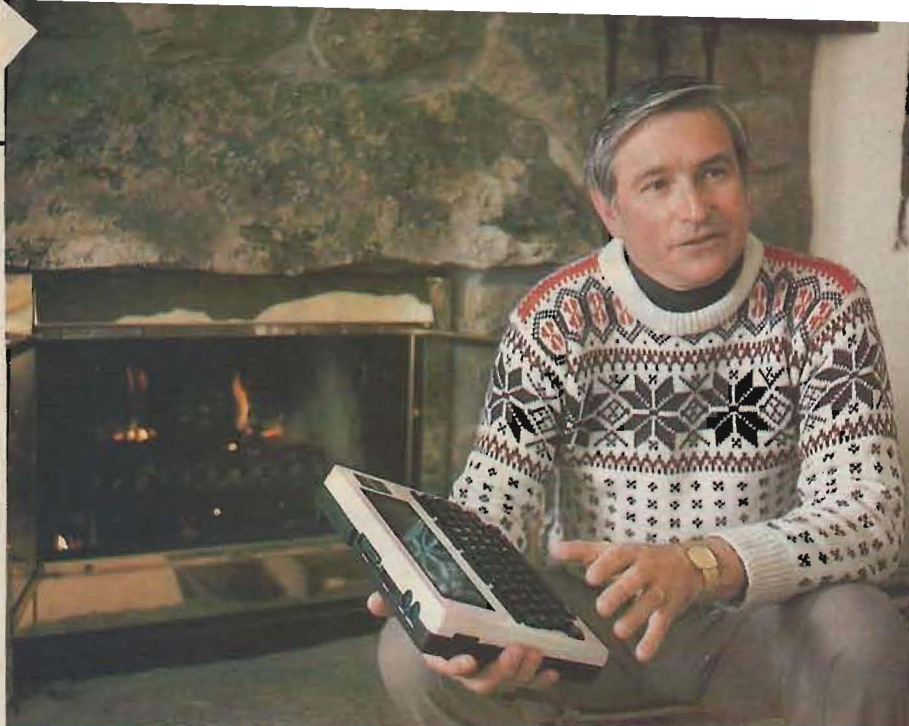


## Information processing



Chairman Roach après ski: The Model 100 connects vacationing executives with the office.

### COMPUTERS

## Tandy takes on the telephone

Tandy Corp. was one of the first companies to bring the cost of personal computers down far enough so that individual consumers could afford them. Now, through its 8,742 Radio Shack stores, Tandy is about to do the same for sophisticated communications gear.

A new line of products from the Fort Worth company, priced for the consumer market, will include radio pagers that beep, portable computer work stations that automatically "dial up" distant data bases, and telephone systems that permit call forwarding and call holding. The first two were scheduled for introduction at the end of March: a pocket pager that sells for \$99.95—less than the cost of an annual lease for commercial paging services—and a battery-powered, portable computer that fits in a briefcase and will sell for as low as \$799, complete with display and software.

**A 'symbiotic connection.'** Although the 4-lb. computer has less memory and a smaller screen than most portables now on the market, it is less expensive and far easier to carry. The closest thing to the Tandy machine is a \$795 unit made by Epson America Inc. But the Epson lacks Tandy's applications software and its built-in modem, which permits the computer to make phone calls.

Tandy is concentrating on combining computer and communications technologies to develop its new line and is counting on the new communications-oriented products to provide the company with its next spurt of growth, according to John V. Roach, chairman and chief executive officer. "The functions of tele-

phones and computers are blurring. Why don't we get on with the task of creating one [machine to do both]?" he asks. Clive G. Smith, a senior analyst at Yankee Group, a Cambridge (Mass.) market research firm, affirms Roach's strategy. "The connection between the computer and the telephone is going to be symbiotic. Tandy is ideally positioned with complete lines of both."

Tandy's just-introduced portable computer, the TRS-80 Model 100, comes already programmed to do word processing and other chores. The book-size unit can also plug directly into a standard telephone jack. A user can look up a phone number in the computer's telephone directory and use the machine to dial the call automatically. Using the unit, an executive at home or on vacation can tap into his corporate computers or call up a data base that offers electronic mail or stock quotations.

This collection of features significantly advances the capability of battery-operated, briefcase-toted computers. Portable units now on the market—such as handheld models made by Texas Instruments, Toshiba, and Matsushita Electric's Panasonic and Quasar units—must be programmed from scratch to do each task. They also require additional components to link up to telephone lines. Yet the Tandy unit costs just about the same as those models, selling for up to \$1,100, depending on how much memory the buyer wants.

In another merger of computers and telephones, Tandy is quietly market-testing a \$999 computer that can link ordi-

nary residential phones with a sophisticated switching system. The TRS Telephone System allows users at home to put calls on hold, transfer them, or conduct conference calls. In a pilot marketing effort, Tandy is now selling the system only through four prototype stores, called Radio Shack Telephone Centers, which aim mostly at small businesses. But consumers already are buying them, says Tandy's telephone product manager, Donald L. Walker.

**'The name of the game.'** Roach is convinced, too, that telephone-happy American families will buy Tandy's new pocket pagers. Commercial pagers now on the market generally lease for anywhere from \$96 to \$144 per year plus a monthly service charge that typically runs \$8 or more. Tandy has started lining up radio-paging services to provide facilities to consumers in 80 U.S. cities at rates lower than those charged commercial users. For example, Communications Industries Inc. will provide Radio Shack customers with pager service for \$4 per month and 20¢ per call in the Dallas area. Michael H. Barnes, vice-president for finance at the service company, thinks Tandy is on the right track. "We believe consumer paging is an inevitability," he says. "It is becoming too expensive and too convenient not to be."

The new market thrust could be coming at just the right time for Tandy. The company's revenues have been growing at a 20% annual clip in recent years, largely because of its early entry into the personal computer business. Sales of its TRS-80 line of microcomputers accounted for 30% of the \$2 billion revenues recorded for the year ended June 30.

But Radio Shack dropped from No. 2 in home computer unit sales in 1981 to No. 5 in 1982, as its chief rivals—Atari, Commodore International, and Texas Instruments—engaged in a fierce round of price-cutting. Forecasters predict that Tandy will slip from first place in 1980 unit sales of personal computers in the \$3,000 range to third place this year.

Roach appears unperturbed about Tandy's loss of market share in computers. The business is growing so fast, he believes, that Tandy can keep up a healthy pace even if its share of total shipments falls. Roach is more concerned about maintaining profitability in a highly competitive market. "The name of the game, as far as we're concerned, is profitable growth," he says. ■